World Bank PIP methodology, chapter 2 - income and consumption

Archived file pip_methodology_02_welfare_aggregates_3038270_retrieved_2026-10-29.Rmd from https://raw.githubusercontent.com/worldbank/PIP-Methodology/30382709c7ffc391dcf71e4bbac5c0d50bfebb2b/02-Constructing-welfare-aggregates.Rmd, retrieved 2026-10-29.

Paragraph (as archived)

The differences between income and consumption matter for comparing trends and levels of poverty and inequality. Given that incomes can be very low or negative, poverty rates are typically higher when income is used rather than consumption. For a given poverty rate, poor households also tend to be further below the poverty line when income is used, as explained by the earlier point about very low incomes. Incomes are also more likely than consumption to be very high for a given year, which in conjunction with the very low values means that inequality often is higher when incomes are used rather than consumption.

The paragraph of the archived chapter that compares inequality measured on income and on consumption, unchanged. Rendered 2026-10-29.